Bank Reconciliation

FEATURE GUIDE · BANKING

This guide covers **Bank Reconciliation** (Banking → Bank Reconciliation). It continues the Harbor & Vine Catering example — reconciling the bank transactions created in the Invoicing and Billing guides against a real bank statement.

> **What is bank reconciliation?**
> It's the process of matching your internal bank records (the GL entries BloomAudit posted) against the actual statement the bank sends you. It catches things you wouldn't otherwise notice — a bank fee you never recorded, a duplicate entry, a payment posted to the wrong account. Every auditor treats monthly reconciliation as a core control.

Statuses

Status	Meaning
In Progress	Session started, matching still underway.
Completed	Difference is $0.00 and the session is locked read-only.

Start a reconciliation

Harbor & Vine's bank account, **Riverside Trust Business Checking**, has three GL transactions this month: two client deposits ($1,200.00 and $2,000.00 from the Invoicing guide) and one supplier payment ($850.00 from the Billing guide).

1. Click **Bank Reconciliation** in the sidebar.
2. Find **Riverside Trust Business Checking** in the account list — note its "Last reconciled" date and outstanding unreconciled item count.
3. Click **Start reconciliation**.
4. Statement date: end of this month. Statement closing balance (copied from the paper/PDF statement the bank sent): `$6,135.00`. **Save**.

> This opens the reconciliation workspace, status **In Progress**.

Import the statement

1. In the workspace, click **Import statement**.
2. Upload the bank's CSV export (BloomAudit also accepts OFX, QIF, and MT940 formats). The statement has four lines:

Date	Description	Debit	Credit
3rd	Deposit — Oakline Events		$1,200.00
15th	Deposit — Oakline Events		$2,000.00

Date	Description	Debit	Credit
18th	Withdrawal — Fresh Farms Produce	$850.00	
30th	Monthly account service fee	$15.00	

3. On first import, map the columns (Date / Description / Debit / Credit) if BloomAudit doesn't auto-detect them. Already-imported rows for this account are skipped automatically (duplicate detection).

Match transactions

1. Click **Auto-match** (the lightning-bolt icon). BloomAudit matches by exact amount + exact date first, then exact amount within a few days.

> The three lines with a corresponding GL transaction — the two deposits and the Fresh Farms withdrawal — match automatically and are marked ✓. The $15.00 fee has no GL counterpart, so it's left unmatched for review.

2. If any line needed a manual match instead: select a bank line and a GL line, then click **Match selected**. To undo a mistaken match, select it and click **Unmatch**.

Handle the unmatched bank fee

The $15.00 fee is real — the bank charged it — but BloomAudit has never recorded it, because no invoice, bill, or journal entry created it.

1. Select the unmatched $15.00 fee line. Click **Adjusting entry**.
2. Type: `Bank Charge`. Account: `6200 — Bank Fees Expense`. Amount: `$15.00`. **Save**.

> 💡 **What just happened?**
>
> **In plain English:** BloomAudit posted the missing transaction directly from the reconciliation screen, so the GL now agrees with what the bank actually did.
>
> | | Account | Amount |
> |---|---|---|
> | DR | Bank Fees Expense (6200) | $15.00 |
> | CR | Bank / Cash (1000) | $15.00 |
>
> **Updated automatically:** COA — 6200 increased by $15.00 · COA — 1000 decreased by $15.00 · GL — new entry, module "Reconciliation" · the fee line in the workspace is now matched to this new entry.

Complete the reconciliation

1. Look at the summary bar: **Statement Balance** | **Outstanding Cheques** | **Deposits in Transit** | **Adjusted Balance** | **GL Balance** | **Difference**.

> With all four lines matched (three original + the adjusting entry), **Difference** now reads `$0.00`.

2. The **Complete reconciliation** button — disabled until the difference is exactly zero — is now active. Click it.

> 💡 **What just happened?**
>
> - The session's status changes from **In Progress** to **Completed**.
> - It becomes **read-only** — no more matching, unmatching, or adjusting entries can be made against it. To fix a mistake after completion, a new reconciliation session with a correcting adjustment is required instead of editing history.
> - The account's **Last reconciled** date updates to today.
> - Each matched GL transaction is now flagged reconciled — they no longer appear as outstanding items for this account.

Verify it

- [ ] All four statement lines show a ✓ match — nothing left in the unmatched column.
- [ ] The summary bar's **Difference** reads exactly `$0.00` before you're able to click **Complete reconciliation**.
- [ ] After completing, the workspace shows **Completed — read only** and the Match / Unmatch / Adjusting entry buttons are gone.
- [ ] **Riverside Trust Business Checking**'s **Last reconciled** date on the account list now shows today.
- [ ] Open **General Ledger**, filter **Module = Reconciliation** — the $15.00 bank fee adjusting entry appears there, dated the same as this session.
- [ ] The account's outstanding unreconciled item count drops to reflect only transactions from *after* this statement period.

Permissions used in this guide: `bank_reconciliation:create`, `bank_reconciliation:read`, `bank_reconciliation:adjust_entry`, `bank_reconciliation:complete`.